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Chokepoints and pressure points : what is breaking and reshaping global energy markets

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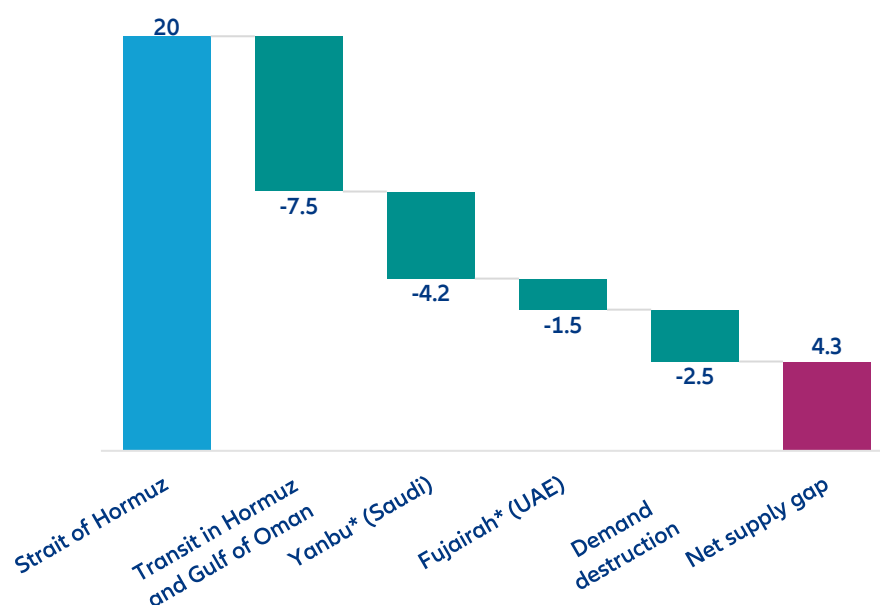
In Summary

- **The ongoing oil-price shock shouldn't prove structural, with flows likely to normalize in 2027. But several pressure points are pulling oil and gas prices in different directions and the balance will decide where prices go next.** Brent jumped to nearly 110 USD/bbl after Saudi Arabia was forced to shut its East-West pipeline, pushing the net hit to Hormuz flows to about 4.3mbpd vs pre-war levels. For now, pressure points (including strategic reserves near historic lows and an underinvested refining base) are outweighing the two relief valves (shadow traffic in Hormuz and demand destruction). As we expect the Saudi pipeline to be repaired rather swiftly and volumes steady in Hormuz, Brent should average 87 USD/bbl in Q4 2026 before consolidating to 76 USD/bbl in 2027. But prices would hold near 100 USD/bbl if the outage extends toward six weeks and Hormuz remains in flux.
- **European gas prices are climbing as the region races to refill, though the resulting macro risk looks contained for now.** Gas prices have rallied from the mid-40 EUR/MWh in July to over 80 EUR/MWh as Hormuz LNG loadings stay stuck at 15-25% of pre-war levels. We expect TTF averaging 65 EUR/MWh in Q4 2026 before easing to 36 EUR/MWh in 2027 amid larger supply from both the US and the Middle East. A sustained move above 120 EUR/MWh for six months would risk tipping the Eurozone into recession.
- **A separate refining and export bottleneck is keeping refined product prices elevated.** US and European crack spreads have surged to 62 EUR/bbl and 74 EUR/bbl. On top of Hormuz disruptions, a significant share of Russia's refining capacity has been hit by Ukrainian strikes, resulting in a diesel export ban. Until June, China also had export restrictions in place amid fears of supply shortages. A structurally underinvested refining base is adding to the multi-layered crisis. As a result, global oil demand is expected to contract 2.5mbpd in 2026 as demand from Asia has collapsed.
- **Diesel-reliant transport and agriculture, Asian petrochemicals and fertilizers are the most exposed sectors with very few short-term substitutes available, while producers with domestic feedstock flexibility are comparatively insulated.** Between March and August, fossil-fuel importers paid an estimated extra USD330bn. High diesel prices are hitting trucking, agriculture and construction, and the Gulf's 40% share of global sulfur exports is impacting food production via fertilizers. The near-term adjustment is mainly through inventory drawdowns and output cuts rather than genuine substitution.
- **Households are only starting to feel the full inflationary hit, and the pass-through will remain sticky into 2027.** In the US, gasoline alone drove over a third of August's CPI increase, with pump prices set to reach 3.84 USD/gallon in 2026 (+24% y/y, about 355 USD more per household annually). In Europe, regulated tariffs are catching up with a lag and lower-income households remain disproportionately exposed.
- **Bonds are already pricing in most of the energy premium, but sustained inflation and oil-price spikes could lead to further rate stress.** Much of the initial repricing has already occurred. We estimate that a further increase in Brent to 120 USD/bbl would only lift yields by 5-10bps (vs 17-18bps on inflation swaps and 8-11bps on expected policy-rate pricing). This suggests that a significant further rise in yields would likely require a renewed large supply shock or evidence that inflation is delaying monetary-policy normalization.
- **Looking ahead, over the longer run, the unfolding events are fundamentally a Hormuz/Gulf shock that will reshape global energy markets.** The conflict is reshaping global energy trade routes: Gulf states are building out bypass infrastructure (ADCOP, the Kirkuk-Ceyhan/Development Road corridor, Duqm) while China, India, Japan and South Korea diversify away from Gulf-transiting barrels; LNG has no equivalent bypass, so gas exposure remains structural.

Roller-coaster oil markets

The recent attack on Saudi Arabia's East-West pipeline (Petroline), combined with stalled talks between Iran and Gulf states on Hormuz shipping, is compounding risks, but we expect the shock to fade. Brent has spiked to nearly 110 USD/bbl, widening an already-significant Persian Gulf supply gap (see Figure 1): despite lower Gulf production, exports proved more resilient, but the net hit to Hormuz flows still stands at about 4.3mbpd versus pre-war levels. It remains uncertain when the Saudi pipeline will resume normal flows of 7mbpd - a mild scenario sees volumes ramp back to 5-6mbpd within weeks, while a worst case keeps the pipeline shut for about six weeks but we see this as a temporary shock either way.

Figure 1: Supply gap estimate (mbpd)



* additional flows versus pre-war flows
Sources: various sources, Allianz Research

OECD commercial stocks remain the main shock absorber, but that buffer is thinning fast. US Strategic Petroleum Reserve draws have slowed to just 0.3mbpd over the past month - reserves are now near their lowest level in decades, so Washington has little scope to repeat the scale of releases seen in 2022 or earlier this year even if the deficit widens further; while Japan and South Korea are rebuilding their own reserves rather than drawing them down. China's crude imports, meanwhile, are only just restarting after months of weakness and remain about 4mbpd below year-ago levels; refiners are taking advantage of firm margins and spare quota to buy and reprocess crude for re-export rather than to meet stronger domestic demand, so this is not yet a genuine demand recovery. Against this backdrop, we forecast Brent averaging 88 USD/bbl in Q3 and 87 USD/bbl in Q4 2026 before easing to 76 USD/bbl in 2027 - but a deeper or more prolonged Saudi export disruption, without an offsetting reserve release, would keep the market in deficit for longer and raise the probability of Brent holding near 100 USD/bbl.

Key pressure points for oil and gas prices

Pressure point	Current state	Direction	Why it matters
Residual transit in Hormuz	Accounting for shadow traffic, latest volumes indicate 7-8 mbpd transiting	↓ relief valve	Disruption in traffic could lead to further stress in the market
Saudi pipeline (Petroline)	Petroline shut since Sep. 14, repair timeline ranges from "a few days" to about six weeks	↑ upside risk	A longer outage keeps the market in deficit and is a key upside risk to Brent
Strategic reserves	Draws have slowed to just 0.3mbpd/month and reserves are near historic lows	↑ less cushion	Large releases are no longer an option, leaving little room to backstop the market if the deficit widens further

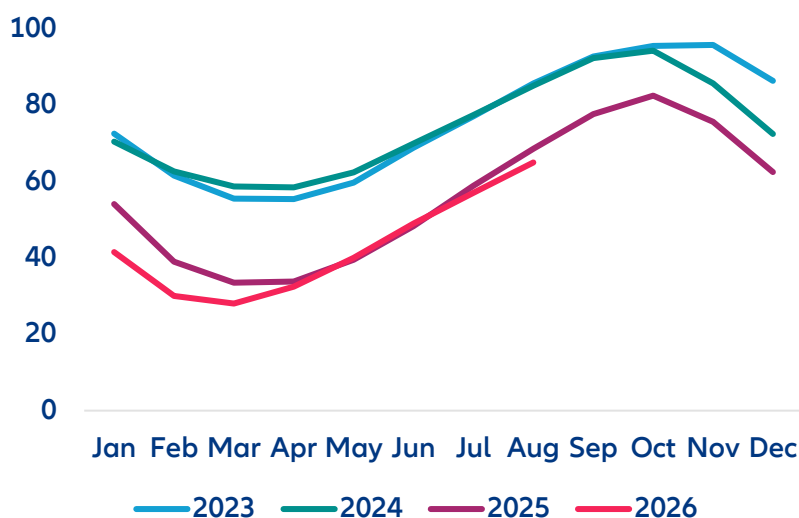
US refined product exports	Refiners running near 98% utilization but shipping most extra output abroad for higher margins	↑ US ↓ Global	Keeps US pump and diesel prices elevated even as it adds barrels to the global market; a pullback toward the domestic market would ease US prices but tighten supply elsewhere
China crude imports	Restarting but still about 4mbpd below year-ago levels. Driven by high refining margins and quota headroom, with output re-exported rather than absorbed domestically	↑ Crude ↓ Diesel	A refining-margin and re-export story, not yet a genuine demand recovery but a faster pickup in real Chinese demand would tighten the market further
Russia/Ukraine channel	Ukrainian strikes have cut Russian refinery runs and Russia's diesel export ban removes about 11% of global diesel supply	↑ Diesel	Distinct from the Middle-East shock driving crude, it matters mainly for diesel and refined-product cracks
Bab el-Mandeb	With renewed tensions, the strait should carry less Saudi oil exports	↑ Mild upside risk	A partial substitute route that has let exports outpace the hit to production, easing reliance on the most exposed corridors
Refining bottleneck	Crack spreads at record highs and global refining capacity growing only marginally with investments down 15% y/y	↑ products	Keeps refined product prices elevated even if crude eases, and is not fixable on a near-term timeframe
Demand destruction	World oil demand forecast to contract 2.5mbpd in 2026 as high prices bite	↓ relief valve	The main self-correcting mechanism that caps how far the deficit can widen and how high prices can go

Source: Allianz Research

A natural gas squeeze looming over Europe?

Natural gas prices are ticking up as Europe races to refill storage. European gas is exposed to the same Middle East disruption through a different channel: LNG loadings through Hormuz have remained stuck at 15-25% of pre-war levels for two months, even as Qatar sends more empty tankers into the Gulf. We expect Qatari and Emirati LNG exports to normalize only in Q1 2027, so for TTF to keep pricing enough Asian LNG demand out of the market to free cargoes for Europe, prices must stay elevated for longer: the rally from the mid-40 EUR/MWh in July to over 80 EUR/MWh has already cut some demand from the rest of the world. With Europe still playing catch-up on storage (see Figure 2), we expect TTF to average 65 EUR/MWh in both Q3 and Q4 2026 before consolidating to 36 EUR/MWh in 2027 as Hormuz flows normalize and incremental US LNG supply arrives. The key near-term risk is storage: a cold winter combined with a lower-than-usual fill could deplete storage before spring, front-loading price pressure into early 2027.

Figure 2: European gas storage



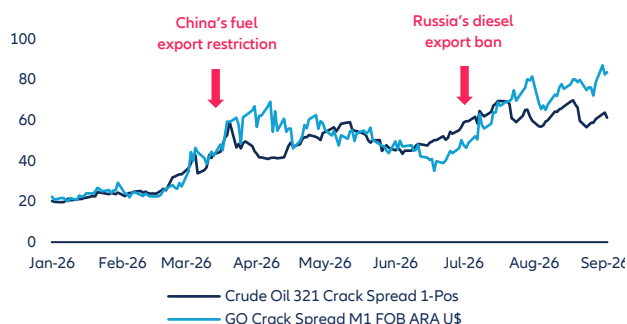
Sources: AGSI, Allianz Research as of Sept. 14

For now, the macro risk from gas prices looks contained. In 2022, gas prices averaged close to 130 EUR/MWh for a full year, yet the Eurozone still grew about 3.4%, cushioned by a post-pandemic demand boom and a fiscal response worth an estimated 0.4pp of growth. Today's backdrop is less forgiving: fiscal space has narrowed and household demand is far less dynamic. We think TTF in the 80-100 EUR/MWh range could be absorbed for nine months or more without a growth shock, but a sustained move above 120 EUR/MWh for six months or longer would tip the Eurozone into recession. Our base case, TTF averaging 65 EUR/MWh through Q3 and Q4 2026, does not test that threshold, though a winter upside scenario would keep the tail risk alive.

Refined products to remain expensive

A two-layer infrastructure bottleneck is hitting refined products and will keep driving regional prices up, independent of crude. In August, Brent averaged 89 USD/bbl, yet clean-product crack spreads surged to record levels, the US benchmark reached 62 EUR/bbl and European diesel crack 74 EUR/bbl (68% and 92% above their five-year averages) showing the main story is refining availability, not crude input costs. Three regions are driving the crunch. In the Middle East, the US-Iran conflict and Hormuz blockade have hit both refinery operations and product exports: pre-conflict flows of roughly 6mbpd through the Strait have fallen to 1.1mbpd, and the Saudi pipeline attack compounds this by also halting flows to the Yanbu refineries. In Russia, Ukrainian strikes cut refinery runs to multi-year lows by mid-May, and Moscow's diesel export ban - extended through September, with no guarantee against further extension - has squeezed a market that depends on Russia for 11% of global diesel. In China, export restrictions imposed in March to preserve domestic inventories cut clean-product exports by 24.3% year-on-year over the first five months, though Beijing's June release of 13mn tons should ease global supply, lifting China's exports full-year total to 32mn tons, 0.6% above last year.

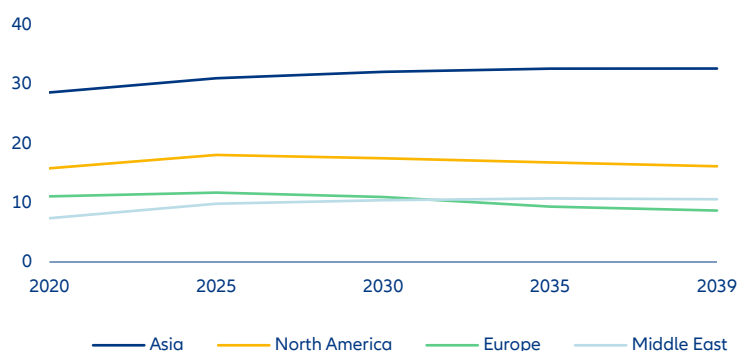
Figure 3: US and Europe crack spread historical prices (USD/bbl)



Sources: LSEG Workspace, Allianz Research

Global clean-product inventories are drying up as the crisis extends through 2026. European (ARA) inventories are well below the five-year average. In the US, refiners are running at record utilization (98% in September), but most of the extra output is being exported for higher margins rather than sold domestically — gasoline stocks are 6% and diesel 14% below seasonal norms, and US diesel topped 6 USD/gallon for the first time. Rising domestic prices could eventually pull barrels back into the US market and curb these exports, with some early – tough strongly pushed back by government officials for now - talks about potential diesel export restrictions to support domestic supply. Additionally, there is little relief from spare capacity: years of underinvestment and refinery closures have left the West structurally unprepared, global refining investment is on track to fall below 40 USD bn this year (-15% y/y), and capacity is set to grow only marginally through 2040. Unlike 2022, when Europe and Asia reallocated capital toward LNG regasification within months, refining capacity cannot be added quickly enough to ease this shortage in the short or medium term, and rebuilding inventories will take time even once Hormuz flows normalize. We now expect world oil demand to contract by 2.5mbpd in 2026 as high product prices force further demand destruction, concentrated in middle distillates and petrochemical feedstocks in Asia. Longer term, persistently expensive products should accelerate substitution toward EVs and heat pumps, and put a premium on refineries with the flexibility to shift crude grades and product mix.

Figure 4: Forecasted regional refinery output based on announced investments (in mbpd)



Sources: S&P, Allianz Research

Downstream sector impact and potential substitution

After six months, duration, and not just the peak price, is now the central macro risk. Between March and August, fossil-fuel importers paid an estimated 330 USD bn more than pre-war forward prices implied, split roughly evenly between crude and refined products - a real income transfer from importers to exporters that squeezes household purchasing power and corporate margins, weakens currencies, and strains public finances wherever governments subsidize fuel. The Hormuz crisis is unusual in disrupting many linked-but-hard-to-substitute commodities at once (crude, gas, LPG, naphtha and sulfur) spilling into fertilizer and petrochemical shortages. Substitution can happen at three levels : (i) switching energy carriers, (ii) switching industrial feedstocks, or (iii) consumers switching final products. With the first working fastest but simply redistributing scarcity, and the other two developing more slowly but reshaping industrial structure permanently. Inflation itself spreads in three stages: a fast first-round hit to energy-intensive industries (speed depending on taxes and subsidies), a slower production-cost effect as old-price inventories and contracts run out, and a second-round effect as wages, inflation expectations and price-setting behavior adjust.

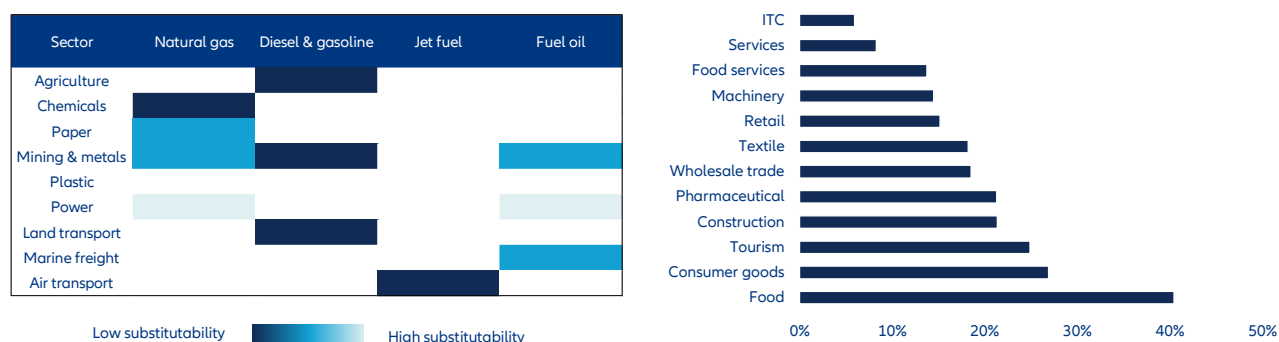
The immediate impact is on energy-intensive industries. Gulf states are major exporters of both fuels and feedstocks: Europe is less directly exposed to Gulf crude than East Asia but still feels it through global oil prices, LNG competition and product shortages; the US is more insulated on crude but exposed via global product prices, hitting lower-income consumers hardest while producers and refiners gain from higher margins. East and South Asia face the largest physical exposure, with China, India and Japan recording the highest net additional fossil-fuel import costs since the conflict began – USD 31.7 bn, USD 14.4bn and USD 10.4bn respectively. Diesel is the most powerful transmission channel given its role in trucking, agriculture, mining and construction - sectors that are hard to electrify, especially for long-haul transport and in emerging markets - while shipping and aviation face higher bunker/jet-fuel costs and rerouting. Among industrial inputs, East Asian petrochemical crackers reliant on imported naphtha are most exposed, whereas the US benefits from domestic ethane and China retains partial cover via coal-based chemicals; metals, cement and glass are exposed through electricity and high-temperature heat costs, hitting aluminum hardest. Gulf countries supply more than 40% of global sulfur exports and about 20% of ammonia/nitrogen-fertilizer exports, so the crisis strikes food production through fertilizer, diesel, irrigation and packaging costs simultaneously.

The second-round effect on the broader economy will be felt with a lag and last longer. Food shows this best: packaged food embeds fertilizer, farm fuel, irrigation, refrigeration, processing heat, packaging, transport and labor, each repricing at a different speed : fresh produce reacts within weeks, grain can take up to a year via fertilizer and harvest effects, and restaurant prices adjust slowest but most persistently as labor and rent costs catch up. Large retailers can hedge and absorb costs better than small ones, and real household income falls as consumers trade down and defer spending. Export restrictions, subsidies and price controls can temporarily shield domestic food prices but tend to redistribute scarcity and worsen the burden on lower-income, food-importing economies.

Construction and real estate are hit both directly (cement, plastics, metals, diesel) and, more durably, indirectly through higher interest rates raising financing costs and lowering the present value of future rents. Compared with 2022, the economy enters this shock with more renewable capacity and European LNG infrastructure - renewables installed since 2020 reportedly avoided USD 36bn of fossil-fuel imports in the first five months of the crisis - but public debt is higher and buffers are thinner after the pandemic and the 2022 crisis.

Substitution will spread across fuels, feedstocks and products but initially redistributes inflation rather than eliminating it. The first response is inventory drawdowns, switching to costlier available inputs, output cuts and cost pass-through. Over time it becomes more structural, reorganizing downstream markets around flexibility, lower energy intensity and redundancy - persistently expensive oil and gas improve the economics of electrification, even though electrification changes commodity dependence rather than removing it. Because capital, regulatory approval and margins all constrain the pace of change, expect a two-stage adjustment: curtailment and demand destruction first, structural substitution and capex later, alongside rising demand for fuel/feedstock flexibility even where it costs more than a specialized, single-fuel plant.

Figure 5a and 5b: Fuel potential substitution in energy-intensive sectors in the short-term; energy-intensive sector inputs (left) within share of total inputs in specific sectors (% - right)



Source: Allianz Research, Eurostat, Oxford Economics

Households to face higher inflation

Six months in, households are losing purchasing power in stages. Petrol and diesel reprice within days or weeks, but gas and electricity bills follow regulated tariff calendars and contract-renewal dates, so the current inflation reading is not yet the peak. Exposure varies sharply by household - an EV- and heat-pump-owning homeowner is comparatively insulated, a gas-heated renter won't feel the full effect until tariffs reset, and a rural household reliant on diesel cars feels it immediately. Petrol and diesel are the fastest channel: European pump prices typically pass through crude costs within one to two months, roughly one-for-one. In the US, gasoline alone drove over a third of August's CPI increase, diesel peaked above 6 USD/gallon in September, and average pump prices are on track for 3.84 USD/gallon in 2026 (+24% y/y) - about USD 355 more per year for a typical household; hitting rural, low-income households hardest given limited access to public transport.

Gas and electricity bills rise on institutional timetables, so the pass-through is felt with a lag that varies by market. In France, the regulated gas reference price rises 6.3% on October 1 (to 182.88 EUR/MWh including tax, about 60 EUR/year for indexed contracts), though roughly 40% of households are on fixed-price contracts and won't feel it until renewal; French electricity moves more slowly, with the next adjustment scheduled for February 2027. The UK's quarterly price cap rises by about 5 GBP/month from October, partly offset by government VAT relief, while roughly 35% of households on fixed contracts are shielded for now. Japan and India rely more on subsidy calendars than market pass-through, which smooths the household shock across time without removing its fiscal cost. More broadly, real energy bills were still about 4% above 2019 levels in 2024, so this shock lands on budgets that had not fully recovered from 2022; and unevenly: an estimated 120mn households in advanced economies spend over 10% of income on home energy, rising to 20% including transport for the poorest, and the bottom income quintile spent 12% of disposable income on gas, electricity and heating in 2022 versus 4% for the top quintile.

Figure 6: State reference current gas and power prices and planned updates and future tariffs.

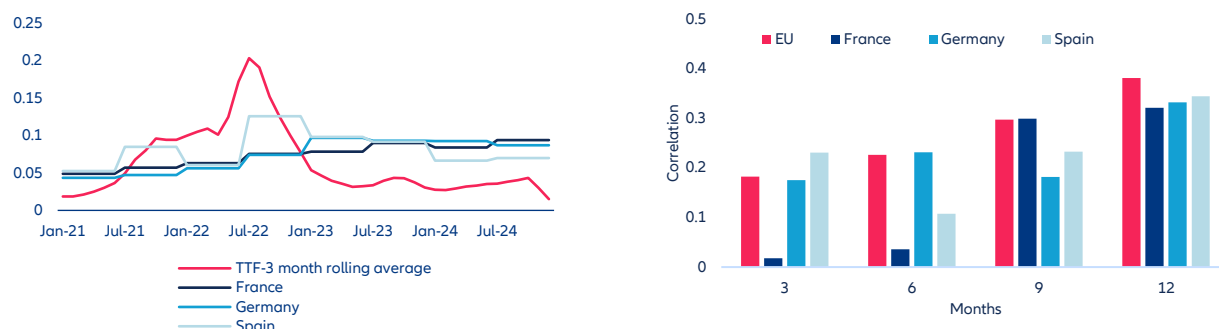
Country	Price type	Current tariff *	Next planned update	Planned tariff
France	Power	EUR 136.10/MWh	February 2027	Not available yet
	Gas	EUR 172.05/MWh	October 2026	EUR 182.88/MWh
United Kingdom	Power	GBP 261.10/MWh	October 2026	GBP 263.20/MWh
	Gas	GBP 73.30/MWh	October 2026	GBP 79.70/MWh
Spain	Power	Not available	Daily update	Not available yet
	Gas	EUR 37.76/MWh to 43.30/MWh	October 2026	Not available yet
Italy	Power	EUR 316.30/MWh	October 2026	Not available yet
	Gas	EUR 64.154/MWh	Monthly ex-post	Not available yet

*France: the power tariff stated is the variable component, it excludes subscription and taxes; the gas tariff stated is a reference price including taxes and other additional costs. UK: the prices stated include taxes and network costs but exclude the monthly standing charge. Spain: the gas tariff stated is a variable consumption term only, excluding taxes and fixed monthly charges. Italy: the stated power prices are only calculated for vulnerable customers and gas prices stated are the commodity component only.

Source: French Energy Regulation Commission (CRE), Ofgem, Italian Energy Regulation Authority (ARERA), Spanish Official State Gazette (BOE)

In the longer term, the energy crisis impacts inflation beyond energy bills. A second inflationary wave builds as transport and industrial costs feed into food, goods and services with a lag of around two years: a permanent 10% rise in oil prices raises headline CPI by about 2.3%, food CPI by 0.3% and core CPI by 0.1%, and after expenditure weights, headline CPI rises by almost 0.4% - consistent with the roughly 0.5% inflation contribution the last oil move added in the Eurozone, UK and Canada. Looking ahead, households are likely to weigh energy resilience more heavily in purchasing decisions, shifting spending from variable fuel costs toward upfront capex on electrification and insulation - even as higher prices simultaneously squeeze the ability to finance that switch, widening inequality in energy exposure. Electricity is set to become the central household energy price, trading oil and gas exposure for exposure to power prices, network charges and time-of-use pricing, with government subsidies and price-cap calendars still deciding when the crisis is actually felt.

Figure 7a and 7b: TTF three-month rolling average price vs. retail gas semi-annual prices excluding taxes and levies (EUR/kWh - left); diesel inflation vs. food inflation correlation over time (right)



Sources: LSEG Datastream, Eurostat, Allianz Research

The energy-yield loop

Energy shocks often have an immediate effect on rates through several components. The first one is inflation expectations: Higher commodity prices tend to increase inflation and are priced directly on the derivatives market. Historically a 1% rise in Brent lifts the 2Y inflation swap by 1.65bps in the US and 1.77bps in the Eurozone, and the 1y1y forward inflation swap by 0.64bp in the US and 1.09bp in the Eurozone. During special shocks the effect intensifies: The US 2Y inflation swap moved 1.86bps per 1% of oil during the Ukraine shock and 2.01bps during the Iran episode. The EU 2Y inflation swap moved by 2.60bps during the Ukraine shock, but only 0.36bp during the Iran episode.

The first channel then impacts the expected short rates path. When inflation tends to increase suddenly, the central bank faces more pressure to be hawkish because of market pricing. Historically a 1% rise in Brent adds 1.02bp to US monetary pricing (proxied by 2Y OIS – Fed Funds) and 0.83bp to EUR monetary pricing (proxied by 2Y OIS – €STR). During crises, this pressure concentrates region by region: US pricing repriced hardest during the Ukraine shock at 2.82bps per 1% of oil, close to three times its long-run sensitivity, while in the current Iran episode

it is EUR pricing that dominates at 2.40bps. This second channel tends to move short rates (more sensitive to inflation and monetary policy) (<2Y maturities: US 2Y +0.95bp, DE 2Y +0.53bp per 1% of oil) and the "belly" (more sensitive to growth and the economy) (5Y–7Y: US 5Y +0.98bp, DE 5Y +0.54bp) faster than long rates (which embed more fundamental factors such as demography, fiscal situation, political stability) (>10Y maturity: US 30Y +0.65bp, DE 30Y +0.50bp). When the front end increases more than the long end, it induces a bear flattening, which hurts the economy more broadly. This tends to tighten financial conditions by increasing borrowing costs, slowing the growth of production and credit, but also by increasing transport costs, making it harder for commodities trading houses to provide more inputs to markets due to their short-term financing at 3M.

Figure 8: Sensitivity of rates and inflation to a 1% move in Brent (bps, by regime)

Variable	HISTORIC (10 years) — Δ bps	UKRAINE (2022) — Δ bps	IRAN / ISRAEL (now) — Δ bps
RATES LEVEL			
US 2Y	+9.5	+9.5	+11.2
US 5Y	+9.8	+6.0	+11.7
US 10Y	+8.1	+1.5	+11.9
US 30Y	+6.5	–0.2	+11.4
DE 2Y	+5.3	+2.4	+14.3
DE 5Y	+5.4	–1.8	+12.7
DE 10Y	+5.2	–4.1	+10.5
DE 30Y	+5.0	–3.8	+9.4
MONETARY PRICING			
US (2Y OIS – Fed Funds)	+10.2	+28.2	+8.5
EUR (2Y OIS – €STR)	+8.3	+9.2	+24.0
INFLATION — 1y1y forward & 2Y swaps			
US 1y1y forward inflation	+6.4	+11.2	+9.7
EUR 1y1y forward inflation	+10.9	+12.6	+12.1
US inflation swap 2Y	+16.5	+18.6	+20.1
EUR inflation swap 2Y	+17.7	+26.0	+3.6

Values are deltas in basis points (Δ bps) for a given move in Brent, as measured in the attached analysis. HISTORIC = 10-year average; UKRAINE = 2022 shock; IRAN / ISRAEL = current episode. Bold green = statistically meaningful; grey italic = not meaningful.

Source: LSEG Datastream, Allianz Research

In times of shocks, the sensitivities of commodities on rates roughly double. On the German curve, a 1% rise in Brent moves the 2Y yield by 0.53bp historically versus 1.43bp in the current episode, and EUR monetary pricing by 0.83bp versus 2.40bp. Per +10% move in Brent, that is about +5bps on the German curve and +9bps on the US curve in normal times, rising to about +14bps on the German 2Y and +12bps on the US 10Y in shock, with the 2Y inflation swaps moving some +17bps historically and up to +20bps in a shock. Figure 9 illustrates the incremental impact on rates and inflation markets implied by a move in Brent to USD120, USD100 or USD80 from current levels. These scenario moves are separate from the repricing already observed during the current episode, much of which is already embedded in inflation compensation and monetary-policy expectations.

Figure 9: Rates and inflation under Brent price scenarios

Rates & inflation	Today (16/09/2026)	At USD 120 (+10.3%)	At USD 100 (–8.0%)	At USD 80 (–26.4%)
US 2Y	4.67%	4.77% (+10 bp)	4.59% (–8 bp)	4.42% (–25 bp)
US 10Y	5.00%	5.09% (+9 bp)	4.94% (–6 bp)	4.79% (–21 bp)
DE 2Y	3.24%	3.29% (+5 bp)	3.19% (–5 bp)	3.10% (–14 bp)
DE 10Y	3.54%	3.59% (+5 bp)	3.49% (–5 bp)	3.40% (–14 bp)
US monetary pricing	0.89%	1.00% (+11 bp)	0.81% (–8 bp)	0.62% (–27 bp)
EUR monetary pricing	0.98%	1.06% (+8 bp)	0.91% (–7 bp)	0.76% (–22 bp)
US inflation swap 2Y	2.60%	2.77% (+17 bp)	2.47% (–13 bp)	2.16% (–44 bp)
EUR inflation swap 2Y	2.87%	3.05% (+18 bp)	2.72% (–15 bp)	2.40% (–47 bp)
US 1y1y forward inflation	2.59%	2.66% (+7 bp)	2.54% (–5 bp)	2.42% (–17 bp)
EUR 1y1y forward inflation	2.27%	2.38% (+11 bp)	2.18% (–9 bp)	1.98% (–29 bp)

Brent today: USD 108.75. Scenario levels shown with the delta vs today in basis points (Δ bps). Linear scenario using historic oil sensitivity — not a forecast; assumes nothing else changes.

Source: LSEG Datastream, Allianz Research

Bond markets have already absorbed a large portion of the current energy shock through higher inflation compensation and a repricing of the expected monetary-policy path. While additional oil-price gains would still exert upward pressure on rates, the scenario analysis suggests that the marginal impact is now smaller than during the initial phase of the shock. As a result, a sustained and significant further rise in yields would likely require a new escalation in supply disruptions or clearer evidence that energy-driven inflation is feeding into broader price dynamics and delaying the normalization of monetary policy.

How the conflict is reshaping the global energy map

The Strait of Hormuz has always been the Gulf’s structural vulnerability, and this crisis is accelerating a shift from managing chokepoint risk to actively engineering around it. The attack on Saudi Arabia’s own hedge (i.e. Petroline) is a reminder that existing bypass infrastructure is now a target, not a guarantee. Riyadh’s repair timeline will determine how quickly that redundancy returns, but the episode has already revived talk of expanding capacity rather than just repairing it. The UAE’s ADCOP pipeline to Fujairah, which sits outside the Strait entirely, remains the cleanest working bypass and has absorbed a large share of redirected flows, with further capacity additions planned for 2027. Iraq is leaning on the Kirkuk-Ceyhan pipeline and the broader Development Road corridor to Türkiye, while Oman’s Duqm port is the other candidate for a Gulf pipeline that bypasses the Strait altogether.

Figure 10: Existing Hormuz bypasses and projects

Route	From → To	Status	Capacity
Petroline (Saudi East–West)	Abqaiq → Yanbu (Red Sea)	Halted as of Sep. 14	7.0 mbpd
Habshan–Fujairah	Habshan → Fujairah (Gulf of Oman)	Operational	1.8 mbpd
IPSA (Iraq–Saudi)	Basra/Rumaila → Yanbu via Saudi grid	Idle	1.65 mbpd nameplate
Kirkuk–Ceyhan	Kirkuk → Ceyhan (Turkey, Mediterranean)	Intermittent	1.5 mbpd potential
Goreh–Jask	Goreh → Jask (Gulf of Oman, Iran)	Idle	1.0 mbpd design, 0.3 mbpd effective
Iraq–Jordan (Basra–Aqaba)	Basra → Aqaba (Jordan, Red Sea)	Proposed	1.0 Mb/d
Saudi–Oman link	Eastern Province → Duqm (Oman)	Proposed	TBD
Kirkuk–Baniyas (Iraq–Syria)	Kirkuk → Baniyas (Syria, Mediterranean)	Proposed rehab & extension	From 0.3 mbpd to 2mbpd
Kirkuk–Haifa	Kirkuk → Haifa (Israel, Mediterranean)	Defunct	0.2 mbpd historical

Source: Allianz Research

There is no easy fix for natural gas. Unlike crude, LNG cannot be pipelined around Hormuz, which is why Qatari and Emirati LNG loadings have collapsed even as oil exports partially recovered via redirection. With normalization pushed out to Q1 2027, Qatar’s pattern of sending more empty tankers into the Gulf is one of the few signs of an eventual ramp-up, but there is no Petroline-equivalent for gas and the exposure is structural.

On the demand side, the pressure to de-risk predates this crisis — it dates back to the war in Ukraine — and is now intensifying, though Russia/Ukraine plays no direct role in the current Hormuz shock beyond the refined-products channel already noted. China has spent the past decade building overland alternatives (the ESPO pipeline from Russia and the Kazakhstan-China link) specifically to cut seaborne Gulf and Malacca dependency, and its crude imports remain about 4mbpd below 2025 levels even at firm prices — though the recent uptick in Chinese buying is a refining-margin and re-export story more than fresh demand. India is diversifying toward US, West African and discounted Russian barrels via the Cape route while expanding strategic reserves, and Japan and South Korea are rebuilding SPRs drawn down earlier in the crisis. The India-Middle East-Europe Economic Corridor is likely to see fresh political momentum as a longer-term, non-maritime link between the Gulf and Europe. None of

this displaces Hormuz as the region's central artery near-term, but it marks a durable shift toward supply-side redundancy and demand-side diversification that will outlast the current conflict.

These assessments are, as always, subject to the disclaimer provided below.

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The statements contained herein may include prospects, statements of future expectations and other forward-looking statements that are based on management's current views and assumptions and involve known and unknown risks and uncertainties. Actual results, performance or events may differ materially from those expressed

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(v) persistency levels, (vi) particularly in the banking business, the extent of credit defaults, (vii) interest rate levels, (viii) currency exchange rates including the EUR/USD exchange rate, (ix) changes in laws and regulations, including tax regulations, (x) the impact of acquisitions, including related integration issues, and reorganization measures,

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